WEEK 11 · LECTURE L1 · UNIT IV

Strategy for Resilience and Agility

From tools to an operating model, and how to build an HR function that can change itself.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Distinguish a digital HR strategy (an operating model) from a project list.
- Distinguish resilience from agility, and explain build, measure, learn in HR.
- Apply dynamic capabilities, exploration and exploitation, emergent strategy and the lean startup to HR strategy.

COURSE OUTCOMES

CLO 4 and CLO 5 (strategy and strategic alignment).

AN OPERATING MODEL

A strategy is an operating model, not a project list

Element	The question
Structure	Shared services, centers of excellence, business partners?
Decision rights	Who decides on tools, data and policy?
Funding	How does money flow, and how are investments stopped?
Measurement	Which outcomes are tracked, by whom?
Capability	How is HR's own skill built?

EXAM LENS

A project list (buy an HRIS, launch a chatbot) can succeed item by item while the function stays the same. An operating model survives a change of tools.

Strength to absorb shocks; speed to adapt

Resilience

Absorb disruption, recover, and respond to the specific situation.

Agility

Respond quickly, pivot, and keep learning.

Build, measure, learn

A small pilot (for example, a vernacular leave flow at a few sites for eight weeks) with a metric and a stop rule set in advance, rather than a company-wide launch measured only by go-live.

THEORY IN DEPTH · TEECE, PISANO AND SHUEN (1997); TEECE (2007)

Dynamic capabilities: the ability to change

THE CORE IDEA

Lasting advantage comes from the capacity to integrate, build and reconfigure resources as the environment shifts.

HOW IT WORKS

Teece (2007): sensing opportunities, seizing them, and transforming the organization to fit.

LIMITS AND CRITIQUE

Hard to measure; critics argue the idea can be circular.

IN PRACTICE

An HR function must be able to sense when a tool is failing and transform its model, not only buy the next tool.

EXAM LENS

Contrast dynamic capabilities with the resource-based view (Week 2): one is about having resources, the other about changing them.

THEORY IN DEPTH · MARCH (1991)

Exploration and exploitation compete for resources

THE CORE IDEA

Exploitation refines what works; exploration searches for what might work better.

HOW IT WORKS

Exploitation pays quickly and surely; exploration pays slowly and uncertainly, so organizations tend to under-explore.

LIMITS AND CRITIQUE

The right balance depends on the environment and is hard to set in advance.

IN PRACTICE

Fund a few small pilots each year alongside fixing the core record: exploration and exploitation together.

EXAM LENS

Name the trade-off explicitly and argue for a portfolio.

THEORY IN DEPTH · MINTZBERG AND WATERS (1985)

Strategy is partly planned and partly emergent

THE CORE IDEA

Realized strategy combines deliberate plans with patterns that emerge from action.

HOW IT WORKS

Good managers learn from emergent patterns and fold them into the plan.

LIMITS AND CRITIQUE

Too much emergence can become drift without direction.

IN PRACTICE

Adoption data after launch are emergent signals; a good HR strategy changes in response.

EXAM LENS

Use this to argue against rigid multi-year HR technology roadmaps.

THEORY IN DEPTH · RIES (2011)

Build, measure, learn

THE CORE IDEA

The lean startup: test ideas with a minimum viable product, measure, learn, then pivot or persevere.

HOW IT WORKS

Each cycle is small and fast, with a metric and a decision rule set before the test.

LIMITS AND CRITIQUE

Built for start-ups; large organizations must adapt it to governance and compliance.

IN PRACTICE

Lewin's controlled unfreeze turned into a habit: every HR pilot has a metric and a stop rule.

EXAM LENS

Link Ries to real options (Week 6) and stage-gate: all three pre-commit decision rules.

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

"A digital HR strategy is an operating model, not a technology roadmap." Discuss using dynamic capabilities and emergent strategy. **20 marks**

A strong answer: defines operating model elements; applies sensing, seizing, transforming; deliberate versus emergent; critiques project lists.

How can HR build resilience and agility? Evaluate the relevance of March (1991) and the lean startup. **20 marks**

A strong answer: distinguishes resilience from agility; exploration and exploitation portfolio; build, measure, learn with governance adaptations.

Distinguish deliberate from emergent strategy with an HR example. **10 marks**

A strong answer: correct definitions and a relevant example.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **A strategy is who decides, how money flows and what is measured**
2. **Small tested steps build resilience and agility**
3. **Plan deliberately, and learn from what emerges**

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Westerman, G., Bonnet, D., & McAfee, A. (2014), leadership and strategy chapters.

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

March, J. G. (1991). Exploration and exploitation in organizational learning. *Organization Science, 2*(1), 71–87. https://doi.org/10.1287/orsc.2.1.71

Mintzberg, H., & Waters, J. A. (1985). Of strategies, deliberate and emergent. *Strategic Management Journal, 6*(3), 257–272. https://doi.org/10.1002/smj.4250060306

Ries, E. (2011). *The lean startup: How today's entrepreneurs use continuous innovation to create radically successful businesses*. Crown Business.

Teece, D. J. (2007). Explicating dynamic capabilities: The nature and microfoundations of (sustainable) enterprise performance. *Strategic Management Journal, 28*(13), 1319–1350. https://doi.org/10.1002/smj.640

Teece, D. J., Pisano, G., & Shuen, A. (1997). Dynamic capabilities and strategic management. *Strategic Management Journal, 18*(7), 509–533. https://doi.org/10.1002/(sici)1097-0266(199708)18:7<509::aid-smj882>3.0.co;2-z

Westerman, G., Bonnet, D., & McAfee, A. (2014). *Leading digital: Turning technology into business transformation*. Harvard Business Review Press.